

ACCOUNTANCY

COMPUTERISED ACCOUNTING SYSTEM

Textbook for Class XII



12127

© NCERT
not to be republished

ACCOUNTANCY

COMPUTERISED ACCOUNTING SYSTEM

Textbook for Class XII



राष्ट्रीय शैक्षिक अनुसंधान और प्रशिक्षण परिषद्
NATIONAL COUNCIL OF EDUCATIONAL RESEARCH AND TRAINING

12127 – ACCOUNTANCY (COMPUTERISED ACCOUNTING SYSTEM)
Textbook for Class XII

ISBN 978-93-5007-026-0

First Edition

January 2010 Magha 1931

Reprinted

March 2015, December 2015,
February 2017, December 2017,
February 2019, September 2019

Revised Edition

October 2022 Kartika 1944

Reprinted

March 2024 Chaitra 1946
December 2025 Pausa 1947

PD 5T BS

© National Council of Educational
Research and Training, 2010, 2022

₹ 140.00

Printed on 80 GSM paper with NCERT
watermark

Published at the Publication Division by the
Secretary, National Council of Educational
Research and Training, Sri Aurobindo Marg,
New Delhi 110 016 and printed at
Jaina Offset Printers, A33/2, Sahibabad
Industrial Area, Site-IV (U.P.)

ALL RIGHTS RESERVED

- ❑ No part of this publication may be reproduced, stored in a retrieval system or transmitted, in any form or by any means, electronic, mechanical, photocopying, recording or otherwise without the prior permission of the publisher.
- ❑ This book is sold subject to the condition that it shall not, by way of trade, be lent, re-sold, hired out or otherwise disposed of without the publisher's consent, in any form of binding or cover other than that in which it is published.
- ❑ The correct price of this publication is the price printed on this page. Any revised price indicated by a rubber stamp or by a sticker or by any other means is incorrect and should be unacceptable.

**OFFICES OF THE PUBLICATION
DIVISION, NCERT**

NCERT Campus
Sri Aurobindo Marg
New Delhi 110 016

Phone : 011-26562708

108, 100 Feet Road
Hosdakere Halli Extension
Banashankari III Stage
Bengaluru 560 085

Phone : 080-26725740

Navjivan Trust Building
P.O. Navjivan
Ahmedabad 380 014

Phone : 079-27541446

CWC Campus
Opp. Dhankal Bus Stop
Panihati
Kolkata 700 114

Phone : 033-25530454

CWC Complex
Maligaon
Guwahati 781 021

Phone : 0361-2674869

Publication Team

Head, Publication Division	:	M.V. Srinivasan
Chief Editor	:	Bijnan Sutar
Chief Business Manager	:	Amitabh Kumar
Chief Production Officer (Incharge)	:	Deepak Jaiswal
Production Officer	:	Sunil Sharma

Cover
Karan Chadha

FOREWORD

The *National Curriculum Framework* (NCF), 2005, recommends that children's life at school must be linked to their life outside the school. This principle marks a departure from the legacy of bookish learning which continues to shape our system and causes a gap between the school, home and community. The syllabi and textbooks developed on the basis of NCF signify an attempt to implement this basic idea. They also attempt to discourage rote learning and the maintenance of sharp boundaries between different subject areas. We hope these measures will take us significantly further in the direction of a child-centred system of education outlined in the *National Policy on Education* (1986).

The success of this effort depends on the steps that school principals and teachers will take to encourage children to reflect on their own learning and to pursue imaginative activities and questions. We must recognise that, given space, time and freedom, children generate new knowledge by engaging with the information passed on to them by adults. Treating the prescribed textbook as the sole basis of examination is one of the key reasons why other resources and sites of learning are ignored. Inculcating creativity and initiative is possible if we perceive and treat children as participants in learning, not as receivers of a fixed body of knowledge.

These aims imply considerable change in school routines and mode of functioning. Flexibility in the daily time-table is as necessary as rigour in implementing the annual calendar so that the required number of teaching days are actually devoted to teaching. The methods used for teaching and evaluation will also determine how effective this textbook proves for making children's life at school a happy experience, rather than a source of stress or boredom. Syllabus designers have tried to address the problem of curricular burden by restructuring and reorienting knowledge at different stages with greater consideration for child psychology and the time available for teaching. The textbook attempts to enhance this endeavour by giving higher priority and space to opportunities for contemplation and wondering, discussion in small groups, and activities requiring hands-on experience.

The National Council of Educational Research and Training (NCERT) appreciates the hard work done by the textbook development committee responsible for this book. We wish to thank the Chairperson of the advisory group in Social Sciences Professor Hari Vasudevan and the Chief Advisor for this book, Professor G.C. Maheshwari, Dean, Institute of Management Studies, M.S. University Baroda for guiding the work of this committee. Several teachers contributed to the development of this textbook; we are grateful to their principals for making this possible.

We are indebted to the institutions and organisations which have generously permitted us to draw upon their resources, material and personnel. We are especially grateful to the members of the National Monitoring Committee, appointed by the Department of Secondary and Higher Education, Ministry of Human Resource Development under the Chairpersonship of Professor Mrinal Miri and Professor G.P. Deshpande, for their valuable time and contribution. As an organisation is committed to the systemic reform and continuous improvement in the quality of its products, NCERT welcomes comments and suggestions which will enable us to undertake further revision and refinement.

New Delhi
December 2009

Director
National Council of Educational
Research and Training

RATIONALISATION OF CONTENT IN THE TEXTBOOKS

In view of the COVID-19 pandemic, it is imperative to reduce content load on students. The National Education Policy 2020, also emphasises reducing the content load and providing opportunities for experiential learning with creative mindset. In this background, the NCERT has undertaken the exercise to rationalise the textbooks across all classes. Learning Outcomes already developed by the NCERT across classes have been taken into consideration in this exercise.

Contents of the textbooks have been rationalised in view of the following:

- Overlapping with similar content included in other subject areas in the same class
- Similar content included in the lower or higher class in the same subject
- Difficulty level
- Content, which is easily accessible to students without much interventions from teachers and can be learned by children through self-learning or peer-learning
- Content, which is irrelevant in the present context

This present edition, is a reformatted version after carrying out the changes given above.

CONSTITUTION OF INDIA

Part III (Articles 12 – 35)

(Subject to certain conditions, some exceptions
and reasonable restrictions)

guarantees these

Fundamental Rights

Right to Equality

- before law and equal protection of laws;
- irrespective of religion, race, caste, sex or place of birth;
- of opportunity in public employment;
- by abolition of untouchability and titles.

Right to Freedom

- of expression, assembly, association, movement, residence and profession;
- of certain protections in respect of conviction for offences;
- of protection of life and personal liberty;
- of free and compulsory education for children between the age of six and fourteen years;
- of protection against arrest and detention in certain cases.

Right against Exploitation

- for prohibition of traffic in human beings and forced labour;
- for prohibition of employment of children in hazardous jobs.

Right to Freedom of Religion

- freedom of conscience and free profession, practice and propagation of religion;
- freedom to manage religious affairs;
- freedom as to payment of taxes for promotion of any particular religion;
- freedom as to attendance at religious instruction or religious worship in educational institutions wholly maintained by the State.

Cultural and Educational Rights

- for protection of interests of minorities to conserve their language, script and culture;
- for minorities to establish and administer educational institutions of their choice.

Right to Constitutional Remedies

- by issuance of directions or orders or writs by the Supreme Court and High Courts for enforcement of these Fundamental Rights.

TEXTBOOK DEVELOPMENT COMMITTEE

CHAIRPERSON, ADVISORY COMMITTEE FOR TEXTBOOKS IN SOCIAL SCIENCES AT SENIOR SECONDARY LEVEL

Hari Vasudevan, *Professor*, Department of History, University of Calcutta, Kolkata

CHIEF ADVISOR

G.C. Maheshwari, *Professor and Dean*, Faculty of Management Studies, M.S. University, Baroda, Vadodara, Gujarat

MEMBERS

B.R.K. Pillai, *Director*, Central Water Commission, R.K. Puram, New Delhi

Sameer Kaushik, *Lecturer in Commerce*, C-320, Lohia Nagar, Ghaziabad, U.P.

Sanjay Vij, *Professor and Director (CE/IT/MCA)*, Sardar Vallabhbhai Patel Institute of Technology, Vasad, Gujarat

R.S. Pandya, *General Manager (HR)*, Vadodara Manufacturing Division, Reliance Industries Limited, Vadodara, Gujarat

MEMBER-COORDINATOR

Shipra Vaidya, *Professor of Commerce*, Department of Education in Social Sciences, NCERT, New Delhi

ACKNOWLEDGEMENTS

The National Council of Educational Research and Training acknowledges the valuable contributions of the *Textbook Development Committee* which took considerable pains in the development and review of the manuscript as well.

We are thankful to Dr. G.P. Singh, *Director*, Beri Institute of Information Technology, Ghaziabad and Dr. Surrender Kumar, *Reader*, PGDAV College, Delhi University for their academic support in developing this textbook.

Special thanks are due to Savita Sinha, *Professor and Head*, Department of Education in Social Sciences, NCERT for her support, during the development of this book.

We are thankful to Microsoft Inc. and Tally Solutions for permitting us to use the templates of MS Excel and MS Access-2007 as a sample included in the text.

The Council acknowledges the efforts of *Computer Incharge*, Dinesh Kumar; *DTP Operators*, Anil Sharma and Basudev Tripathy; and *Copy Editor*, Mrs. Mamta Gaur.

The contribution of APC-Office, administration of DESS, Publication Division are also duly acknowledged.

CONTENTS

Foreword	v
Rationalisation of Content in the Textbooks	vii
CHAPTER 1 OVERVIEW OF COMPUTERISED ACCOUNTING SYSTEM	1
1.1 Computerised Accounting System	2
1.2 Components of CAS	3
1.3 Salient Features of CAS	4
1.4 Grouping of Accounts	4
1.5 Using Software of CAS	10
1.6 Advantages of CAS	10
1.7 Limitations of CAS	11
1.8 Accounting Information System (AIS)	11
CHAPTER 2 SPREADSHEET	17
2.1 Basic Concepts of Spreadsheet	18
2.2 Data Entry, Text Management and Cell Formatting	47
2.3 Data Formatting	56
2.4 Output Reports	67
2.5 Preparation of Reports Using Pivot Table	69
2.6 Common Errors (Messages) in Spreadsheet	73
CHAPTER 3 USE OF SPREADSHEET IN BUSINESS APPLICATIONS	87
3.1 Payroll Accounting	87
3.2 Asset Accounting	93
3.3 Loan Repayment Schedule	99
CHAPTER 4 GRAPHS AND CHARTS FOR BUSINESS DATA	105
4.1 Graphs and Charts	105
4.2 Basics Steps for Graphs/Charts/Diagrams Using Excel	107
4.3 Advantages in Using Graph/Chart	117

© NCERT
not to be republished